lending platforms (peer to peer), digital non-banking companies and other upcoming structures. E-commerce and card companies and others have also joined the game. Still, only a fraction of small businesses have been mainstreamed in the formal credit system. Increasing digitalization of small businesses is the key to ensuring credit delivery to small businesses. There is no credit regulator in the country. RBI is a bank regulator and, as such, it regulates credit by banks. We need a simple digital regulatory system for credit to small businesses.

Emerging decentralized finance or DeFi solutions in the crypto-blockchain technology platforms also have enormous potential to make an entire menu of financial services—credit, investments, insurance, pensions and so on—much more efficient, less cost-intensive and secure. This is alternative digital resolution brewing. India should develop a conducive policy framework to support the DeFi-delivered financial services.

With successful transformation of payments, investment and credit services, Indian firms can look to capture the global payments, investment and credit services businesses.

Education Services Require Deeper Policy Reforms

Education essentially serves two major societal and personal needs: first, it brings every individual familiarity, knowledge and understanding of self, society and the geophysical world (me, we and the universe) to develop as a healthy, happy and responsible human being; second, it equips every individual to work productively and contribute to the economy. The first type of education is a pure ‘merit good’ with enormous externalities, while the second type is essentially skills and deeper knowledge, which is largely a private good with limited externalities. Let’s call the first type general education and the second, technical education. A clearer understanding of these two different forms of education has enormous implications for designing the correct policies. As a classic merit good, general education is